

Pan Africa Insurance Holdings Limited

Audited Group Financial Results For the year ended 31st December 2015

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1. Introduction

The Board of Directors of Pan Africa Insurance Holdings Limited ("PAIH") is pleased to announce the Group's audited results for the year ended 31 December 2015.

2. Key Features

- Profit before tax of KShs. 54m, down from KShs. 1.15b in 2014; a 95% decline
- Shareholders' funds declined by 2% to KSh 3.7b
- Total assets up by 10% to KShs. 27b
- Pan Africa Life Embedded Value (EV) increased by 4% to KShs. 3.73b while Group EV decreased by 19% to KShs. 5.22b
- Group Capital Adequacy Requirement (Solvency) covered 3.55 times

3. Accounting policies

The Group's accounting policies comply with International Financial Reporting Standards (IFRS) as well as the Kenyan Companies Act. These policies are consistent with those applied in prior years.

4. The Economic Environment

The Kenya National Bureau of Statistics estimates that Kenya's economy expanded by 5.8% during the third quarter of 2015 compared to a growth of 5.2% in the same period of 2014. This growth was mainly supported by strong expansions of activities in the Agriculture, Construction, Financial and Insurance, Wholesale and Retail Trade, and Transport and Storage sectors.

The NSE share index closed the 2015 calendar year at 4041, 21% down compared to the December 2014 closing index of 5113. Overall inflation was relatively stable in 2015 but increased in the last quarter of the year to close at 8.01% in December 2015 (December 2014: 6.02%). The Kenya Shilling lost ground against the US Dollar, declining by 13% in the year to close at 102.31 compared to a closing rate of 90.59 in December 2014.

Short term interest rates were relatively stable in the first half of the year but volatility increased in the second half with the 91 day treasury bill reaching a high of 22.33% in October 2015 from 8.58% in December 2014 and again decreasing in December 2015 to close at 10.41%.

5. Financial Overview

The profit before tax for the Pan Africa Group at KShs. 54m is 95% down from KShs 1.15b reported in 2014.

The Group results are analysed as follows:

	2015 KShs' M	2014 KShs' M
Operating surplus	512	688
Investment income on shareholders' assets	106	464
Goodwill impairment	(564)	-
Profit before tax	54	1,52
Tax	(27)	(281)
Net surplus for the year	27	871
(Loss)/Profit attributable to:		
Owners of the parent	(62)	-
Non-controlling interests	89	-

Included in the operating surplus are the results of our Life, General Insurance, Property, Asset Management and Loans businesses. The Asset Management and Property businesses exceeded the 2014 operating profit levels while the Life Insurance and Loans businesses' performance declined. The newly acquired General Insurance business also underperformed.

The Life Insurance business' performance was negatively impacted by challenges experienced with our distribution network from the third quarter of 2014 through to the third quarter of 2015 coupled with adverse investment market conditions. Gross written premiums declined by 12% to KShs 4.6b from KShs. 5.2b achieved in 2014. Return on invested assets declined by 33% from KShs. 1.4b in 2015 to KShs. 2.1b in 2014, primarily due to the significant decline in the equity market during the year. Profit before tax declined by 41% to KShs. 337m from KShs. 574m in 2014. In 2015, we managed to bolster our agency force through a series of recruitment drives and have put in place a competitive remuneration structure to ensure that we retain our distribution force at optimal levels.

The General Insurance business which was acquired in the year performed below expectations and reported a loss before tax of KShs 302m. The poor performance was partly due to the uncertainty created by the acquisition as well as a significant increase in the provisioning for outstanding claims upon adoption of a more conservative claims reserving methodology in line with regulatory requirements. The change in the reserving policy was also part of a business re-organisation exercise carried out by the Group after the acquisition.

The Asset Management business delivered a strong performance, growing its assets under management by 16% despite the sharp decline in the equity market. This supported higher fee income and a 65% increase in profit before tax to KShs. 28.5m. Sales from our property portfolio more than doubled to KShs 518m from KShs. 190m, also positively impacting the 2015 profit before tax.

Apart from the factors above, the profit before tax was also adversely impacted by goodwill impairment of KShs 564m recorded in the year. This relates to goodwill recognised in respect of the acquisition of Gateway Insurance Company Limited in February 2015. The impairment loss was mainly driven by the increase in claims provisioning that reduced the company's net asset value, combined with the use of a more conservative internal discount rate to value the business for impairment testing purposes. The impairment is therefore not a reflection of directors' view of the future potential of the acquired entity.

6. Dividends

The Board of Directors will not be recommending a dividend in respect of the 2015 results (2014: nil). This decision has been necessitated by the decline in profitability as a result of the adverse performance in the investments market that the business units are exposed to. We strive to continuously balance dividend payments with the need to preserve capital to fund growth and ongoing development projects, as well as to take cognisance of the new Risk Based Capital regime that is being introduced by the regulator. The Risk Based Capital (RBC) regime comes into effect from June 2018. The new regime raises the minimum share capital for short-term insurers to KShs 600m and for long-term insurers to KShs 400m. Additionally, higher capital may be required depending on the size and risk profile of the insurance company with target Capital Adequacy Ratios set at 150%, 180% and 200% by June 2016, June 2017 and 2018 respectively. Capital Adequacy Ratio measures by how much available capital covers the minimum required capital.

7. Looking ahead

The Group has embarked on an ambitious 5 year strategy aimed at growing our market share and attaining operational efficiency to facilitate value creation for our shareholders. The key focus areas will be to complete the integration and stabilisation of the operations of the newly acquired subsidiary and establish optimal structures to fully exploit opportunities within the Group. We expect that the business transformation exercise will initially have one off cost implications (some of which were incurred in 2015) but will deliver improved performance in the medium to the long term.

For our clients and partners, we will stay at the forefront of innovation to deliver the most meaningful solutions through our product offerings, the most efficient processes and using the most convenient distribution channels.

The statement of Comprehensive Income, Statement of Financial Position, Statement of changes in equity and Abridged Cash Flow Statement are extracts from the Group's financial statements which were audited by PricewaterhouseCoopers and received an unqualified opinion.

For and on behalf of the Board
Dr JPN Simba, OGW, MBS (Chairman)
Mr M Kibati (Group Chief Executive Officer)

Directors
Dr JPN Simba, M Kibati, MM Dawes*, S Mudhine, R Patel, JP Wrench*, ML Olivier*, JA Burbridge**

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Group Statement of Comprehensive Income

	Year to 31 Dec 2015 KShs' 000	Year to 31 Dec 2014 KShs' 000
Gross written premium	5,181,614	5,246,527
Outward reinsurance premium	(384,628)	(255,757)
Net written premium	4,796,986	4,990,770
Investment income	2,388,531	1,993,175
Fair value (losses)/gains	(637,144)	648,386
Fee and commissions earned	80,220	49,013
Other operating income	608,591	293,651
Other revenue	2,440,198	2,984,225
Total income	7,237,184	7,974,995
Insurance outgo	4,257,215	5,053,694
Cost of sales	63,178	19,848
Commissions and operating expenses	2,307,649	1,751,465
Impairment of goodwill	564,080	-
Total expenses	7,186,122	6,825,007
Profit before share of profit of an associate	51,062	1,149,988
Share of profit of an associate	3,263	2,610
Profit before tax	54,325	1,152,598
Income tax expense	(26,975)	(281,408)
Profit for the year after tax	27,350	871,190
Other comprehensive income		
Fair value gain on property & equipment, net of tax	-	-
Other comprehensive income net of tax	-	-
Other comprehensive income for the period	-	-
Total profit and comprehensive income	27,350	871,190
Profit attributable to:		
Equity holders of the parent	(61,559)	871,190
Non-controlling interests	88,909	-
Total profit and comprehensive income	27,350	871,190
Earnings Per Share		
Basic	(0.43)	6.05
Diluted	(0.43)	6.05
Shares used in calculating earnings per share	144,000,000	144,000,000

Group Statement of Financial Position

CAPITAL AND RESERVES		
Share capital	720,000	480,000
Share premium	-	124,431
Statutory funds	2,184,710	1,848,043
Retained earnings	811,364	1,325,159
Shareholders' funds	3,716,074	3,777,633
Non-controlling interests	85,973	-
Total capital and reserves	3,802,047	3,777,633
ASSETS		
Intangible assets	129,821	128,614
Property and equipment	134,138	111,145
Investment properties	2,674,799	1,091,407
Investments in associates	21,792	18,529
Deferred income tax	170,225	3,359
Loans	965,495	1,057,864
Held to maturity financial assets	8,069,169	7,026,753
Available for sale financial assets	80,364	-
Fair value through profit or loss financial assets	10,039,667	10,430,570
Reinsurers share of insurance contract liabilities	326,697	145,397
Land and development (Inventory)	77,038	133,219
Current income tax	27,329	99,789
Insurance receivables	234,576	253,042
Deferred acquisition costs	18,776	-
Receivable and other financial assets	222,224	118,426
Deposits with financial institutions	3,693,324	3,767,707
Cash and Bank balance	222,844	213,589
Total assets	27,109,278	24,599,410
LIABILITIES		
Insurance contract liabilities	11,397,467	8,512,313
Market linked insurance liabilities	8,269,515	8,933,562
Payable under deposit administration contracts	1,434,573	1,583,895
Unearned premium	273,895	-
Deferred income tax	655,413	555,598
Provisions	51,925	51,925
Current income tax	4,438	7,002
Insurance payables	464,273	439,894
Payables and other charges	755,732	737,588
Total liabilities	23,307,231	20,821,777

Group Statement of Changes in Equity

Share capital and Share premium	720,000	604,431
Opening reserves	3,173,202	2,734,012
Income attributable to shareholders	(61,559)	871,190
Bonus issue	(115,569)	-
Dividends paid	-	(432,000)
Shareholders' funds	3,716,074	3,777,633
Non-controlling interest	85,973	-
Balance at end of the year	3,802,047	3,777,633

Abridged Cash Flow Statement

Cash flow from operating activities	(762,835)	917,802
Cash from/(utilised) in investing activities	697,707	(1,285,184)
Cash flows utilised in financing activities	-	(339,419)
Net decrease in cash resources	(65,128)	(706,801)
Cash resources at the beginning of the year	3,981,286	4,688,027
Cash resources at the end of the year	3,916,158	3,981,226